

body says he's having an affair, everybody else says 'big deal,' " Mr. Gressel explained. "When somebody has an accident, gets robbed, mugged, or raped, it's the same 'big deal.' But just mention that so-and-so went bankrupt today, and there'll be a great hush and then everybody gasps, 'HOW?' "

Just after he said this, we were interrupted by a great commotion and all my sources scattered. "It's the money supply," Mr. Gressel cried. "The money-supply number's being announced." He rushed away to watch the news on the overhead ticker and returned a few minutes later to say: "The market's going up. The Fed may cut the discount rate. I'll have to see you later. Have to go to work."

Mr. Gressel didn't confine himself to the futures pit or the options pit. I watched him scurry from one to the other, punching numbers into a hand-held calculator and muttering about "implied volatility." What I got from him later was that there are proper prices of the options and the futures, and although the market didn't always know this, eventually it would realize the truth. By realizing it early, Mr. Gressel made his profit. "Waiting for the market to resolve into rationality," is how he put it.

It was soon obvious that the market's going up or going down had little importance to him. In fact, the market was going up, and I watched my little options increase in value. You could see the prices rise from minute to minute on the quote board. Since this didn't seem to please Mr. Gressel, I assumed at first that he wanted the market to go down. This was wrong. The fact is that Mr. Gressel was working on some higher plane.

Most of this I discovered at the end of the day, when we'd agreed to go out for a drink. He suggested that we take the subway uptown instead of a cab, and I knew that things had not gone well for him. Apparently the market was being irrational and ignoring proper prices, which caused him to lose money for the second day in a row.

"Ten thousand dollars," he repeated again and again. "Another ten thousand dollars. Can you fucking believe it?" As we walked down Broadway toward the subway station, he went back over his wonderful life at the University of Chicago, the advantages of academia in general, and the virtues of teaching economics. His nostalgia got him further depressed.